How the Governed Decision Engine Works

A proof-style walkthrough of the merchant financing engine

1 INPUTS

Merchant evidence and requested terms feed derived assessments.

- **Merchant context** — Industry and relationship; policy context.
- **Requested structure** — Amount, remittance, payback multiple and horizon.
- **Sales & cash flow** — Sales, settlement, deposits and usable history.
- **Obligations & liquidity** — Cash balances and existing payment commitments.
- **Verification & continuity** — Source confidence, verification and processor continuity.
- **Derived risk & economics** — Synthetic comparative risk, loss, costs and contribution.

Source inputs and derived assessments stay distinct; retain run and source identity.

2 ELIGIBILITY GATES

Different conditions require different routes—not one generic failure.

- **Evidence sufficiency** — Required inputs must be usable. Missing is not zero.
- **Policy hard stops** — Non-remediable conditions remain declines.
- **Structure conditions** — Capacity and economics can require a search.
- **Judgment requirements** — Defined review conditions can remain after search.
- **Advisories** — Retain warnings; apply the specific source rule.

Terms cannot repair missing evidence or waive hard stops.

3 STRUCTURE SEARCH

M2.2 constructs and tests. M2.3 resolves final authority.

- **Horizon** — 30 / 60 / 90 days
- **Remittance** — Sales-linked share
- **Amount** — Advance dollars
- **Payback multiple** — Repayment target factor
- **Economic hurdle** — Required modeled contribution test

POLICY GUARDRAILS

- Minimum counteroffer = 40% of requested amount
- Maximum amount reduction = 60%

Test admissible terms, credit and economics together; final authority remains separate.

4 DECISION CIRCUIT

Structure support and final authority are separate tests.

Structure support
Requested or alternative terms satisfy the applicable tests.

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Final authority / M2.3
Strict or review conditions + matched-scenario floor.

Support ≠ authorization.

ROUTES TO OUTCOMES

1. **Approve as requested** — Requested terms satisfy governing tests and authority.
2. **Counteroffer authorized** — Alternative terms satisfy governing tests and authority.
3. **Counteroffer review required** — Selected alternative; binding review requirements remain.
4. **Manual underwriting review** — Source-defined underwriting judgment remains required.
5. **Evidence decline** — Required inputs cannot support the dependent assessment.
6. **No feasible structure** — No eligible final structure after search and governance.
7. **Policy hard stop** — A non-remediable policy condition controls.

Retain the final outcome, applicable terms and binding reasons.

5 OUTPUT PROOF

Every decision retains reasons, source identity and supporting evidence.

- **Decision record & terms**
  - Final outcome and applicable governed terms.
  - A review path is not a funded offer.
- **Reason codes**
  - Standardized policy reasons
  - Consistent across teams
- **Explainable rationale**
  - Key drivers and trade-offs
  - Human-readable justification
- **Versioned data contract**
  - Typed outputs and consumption schema.
  - Retained source lineage.
- **Governed evidence trail**
  - Source and version identities.
  - Retained decision evidence.

Trace the outcome to its inputs, rules and retained evidence.

GOVERNED — Policy-driven rules and guardrails.

DETERMINISTIC — Same versioned inputs and policy → same outcome.

EXPLAINABLE — Clear reasons, transparent logic, human-readable.

REPRODUCIBLE — Versioned sources and retained evidence.

From first advance to intelligent portfolio decisions.

Deterministic synthetic • Non-production • No real funds